



“There should be a special training institute for both judicial and technical members of NCLT to learn how to deal with IBC matters expeditiously. [This] will enhance the quality of the Tribunal...”

SHARDUL S. SHROFF
EXECUTIVE CHAIRMAN, SHARDUL
AMARCHAND MANGALDAS & CO



“India has emerged as a global leader in digital payments... With increasing smartphone penetration... and 5G technology coming into play, this growth is expected to accelerate further”

ANUBRATA BISWAS
MD & CEO, AIRTEL PAYMENTS BANK

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level, which people enjoy with cash, especially for small-value transactions. But in a digital world, any transaction will leave a trail. “This is one area where the RBI has to work with the government,” says a banker.

According to market experts, the RBI has four potential approaches to preserve anonymity in CBDC transactions. One option involves maintaining anonymity at the transaction level, with the stipulation that custodians or banks retain wallet-level information, particularly pertaining to CBDC balances. Another alternative is to terminate the transaction while allowing banks ample time to resolve disputes arising from failed transactions. In addition, a minimum threshold could be established, below which transactions would be exempt from the provisions of the Prevention

of Money Laundering Act. Furthermore, a legal provision could be enacted to uphold the confidentiality of CBDC transactions entirely.

Like with UPI transactions, the adoption of CBDC could significantly reduce the reliance on physical cash, cutting the considerable costs associated with printing currency, transporting it from the RBI to banks, and storing it.

RUPEE INTERNATIONAL

India is making concerted efforts to internationalise the rupee, increasing its usage and acceptance in cross-border trade, investment, and reserve holdings. This is to reduce reliance on foreign currencies and elevate India’s global economic standing. The RBI has facilitated this by enabling banks from close to two dozen countries—including Sri Lanka, Israel, Russia, Germany, Singapore, and the UK—to settle

payments in rupees. More countries are expected to be added.

But wider adoption of the rupee trade is easier said than done. Anuj Agarwal, Chief Economist and Head of Research at TruBoard Partners, says the internationalisation of a currency is a complex and gradual process that requires concerted efforts on multiple fronts. “The current environment presents several favourable conditions for initiating this process. India’s position as the fastest-growing major economy, coupled with its strong diplomatic ties and focus on concluding trade pacts, creates a solid foundation for the rupee’s acceptance globally,” says Agarwal. “The US dollar has significantly gone down in terms of its importance as a reserve currency but still maintains its top position for international trade and investments. India’s share in world exports is still less than 2%, and hence the rupee is unlikely to [become] an international reserve currency soon,” believes Pan of YES Bank. For “true internationalisation”, Pan says India will have to significantly improve its share in global trade.

FINE-TUNING THE IBC

The new financial architecture that has been put in place is best encapsulated in the IBC, introduced in 2016 to streamline corporate insolvency proceedings and maximise value for creditors. Since its inception, over 7,000 defaulters have entered bankruptcy proceedings. According to available data, approximately 16% of the closed cases have resulted in successful resolutions. When combined with the 19% of cases where corporations voluntarily agreed to settlements, the share rises to 35%. But the record is not very satisfactory in terms of the amount recovered by banks. The Ministry of Corporate Affairs (MCA) is expected to review amendments to the IBC after the